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TECH

Amazon's Fiscal Discipline Pays Off as It More Than Doubles Profit

Online retailer currently commands roughly 43 cents of every dollar spent online, according to analyst estimates

By Laura Stevens

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Amazon.com boxes stacked for delivery in New York. The company is launching its own delivery service and has scaled up its fast-delivery options. MIKE SEGAR/REUTERS

Amazon.com Inc. on Thursday delivered a double punch, reporting its best revenue growth in more than six years while topping \$1 billion in profit for the second straight quarter.

The results surprised investors who were already expecting Amazon to post strong numbers as it extends its dominance in online retailing and builds on gains in cloud-computing services. But this quarter, Amazon was expected to post a more modest

profit as it refocused on longer-term investments after a blowout holiday period.

Instead, Amazon more than doubled its quarterly net profit to \$1.6 billion—just under its record of \$1.9 billion from the holiday quarter—as revenue surged about 43%. The profit feat is an achievement for a company with a reputation for plowing nearly every dollar it earns into investments.

The revenue growth was Amazon's best mark since the third quarter of 2011, pushing the total to about \$51 billion. The company credited the better-than-expected results to its cloud-services division and strong growth in the company's advertising business.

Amazon's swelling profitability doesn't appear to be an anomaly—it expects operating income to potentially more than double to as high as \$1.9 billion in the second quarter—though Chief Financial Officer Brian Olsavsky cautioned he might not always have such good news.

“We certainly will always have periods of higher investment, and through the year we expect investments to increase,” particularly for video content, Mr. Olsavsky said. He added that the company will continue to hire.

Amazon Chief Executive Jeff Bezos has told investors his company is focused on customers first, sacrificing short-term profit to keep prices low, urgently ship packages and expand into a broad array of services, including cloud computing and movie production. While it still spends heavily on logistics and expansion—its expenses rose 42% to about \$49 billion—the company appears no longer satisfied with razor-thin profit margins.

Amazon's profit, however, pales in comparison with other technology giants that generate far less revenue. Facebook Inc. on Wednesday posted a profit of nearly \$5 billion as its revenue surged 50%; shares in Facebook rose 9.1% on Thursday. Microsoft Corp.'s quarterly profit jumped 35% to \$7.42 billion, while Google parent Alphabet

Inc.'s profit soared 73% to \$9.4 billion.

Shares in Amazon rose 7.2% in after-hours trading on Thursday to \$1,627. The stock is up about 35% this year, propelling Amazon's market value to over \$700 billion and putting it neck and neck with Alphabet and Microsoft.

Amazon's dominant share of the e-commerce market is fueling revenue growth as traditional brick-and-mortar chains increasingly struggle and close more stores. Online sales are growing faster than overall retail, and Amazon currently commands roughly 43 cents of every dollar spent online, according to estimates by research firm eMarketer. The company's loyal base of Prime members, who analysts estimate spend significantly more than the average shopper on the site, now exceeds 100 million globally.

Amazon said Thursday it will raise Prime's annual price in the U.S. by \$20 to \$119, marking the second price increase in the program's 13-year history.

Still, Amazon has been spending heavily on building more warehouses and devices, as well as bulking up on assets for its delivery network and video content. During the quarter, it started adding one- and two-hour delivery from its newly acquired Whole Foods Market grocery stores in a handful of markets, as well as gearing up for the launches this week of Echo devices for children and the ability to deliver to customers' cars.

Those moves highlight Amazon's rapid ascent from its roots as an online bookseller to a conglomerate that offers a competitive line of tablets and voice-activated devices, runs a dominant cloud-services business and sells groceries from the neighborhood store. As it expands into new business areas globally and furthers its reach into consumers' lives—from its Hollywood studios to its recent experimentation into health care and financial services—it is drawing attention to its growing clout.

Most visibly, President Donald Trump in recent weeks lashed out at Amazon's

business practices and economic impact, raising questions about whether his comments will spur lawmakers to take a harsher look at Amazon's dominance. Other tech giants, including Alphabet and Facebook, are facing regulatory scrutiny over their companies' vast reach and access to personal data.

Still, policy experts say that targeting Amazon on anticompetition grounds would be difficult, requiring overturning principles that have guided regulation for decades. Amazon has stayed silent on the topic.

A bag of groceries from a Whole Foods Market in Jackson, Miss. Amazon has started adding one- and two-hour delivery from the grocery stores in a handful of markets. ROGELIO V. SOLIS/ASSOCIATED PRESS

Amazon has sought to differentiate itself from other tech giants by touting its job creation. Last year, the company announced the creation of 130,000 part- and full-time U.S. jobs through mid-2018, mostly at warehouses. It also launched the search for a second headquarters, which it has said could bring 50,000 high-paying jobs and more than \$5 billion in investments over nearly two decades.

The emphasis on warehouse employees means Amazon's median salary is just \$28,446, compared with \$240,430 at Facebook. In the first quarter, the number of global employees declined slightly from the fourth quarter to 563,100, although it was up 60% year-over-year.

Contributing to the number of employees is Amazon's acquisition of Whole Foods in August. Amazon has taken actions since buying the chain including lowering some prices, adding lockers in store and promising Prime benefits. Still, changes already under way before Amazon acquired the company have caused some strains with suppliers, and some executives have departed in recent months.

Revenue from physical stores, which primarily reflect Whole Foods but also includes a few Amazon bookstores and other physical locations, was \$4.26 billion for the quarter, slightly below the fourth quarter's \$4.52 billion.

Amazon has been heavily investing in transportation, too. The company is launching its own delivery service and has scaled up its fast-delivery options. But that comes at a price, as world-wide shipping costs rose 38% to \$6.1 billion, compared with the same quarter a year earlier.

Amazon Web Services, the company's cloud-services division, experienced big growth. Revenue at the division, which helps drive profit, rose 49% to \$5.44 billion, while operating income increased 57% to \$1.4 billion. The division has faced stronger competition from rivals such as Microsoft and Google in recent months. Microsoft said Thursday that its cloud-business revenue rose 93%, though it didn't disclose a total.

Mr. Bezos called out AWS's "remarkable acceleration" in growth in the company's news release, attributing it in part to the company's seven-year head start and better functionality.

The company forecast revenue of between \$51 billion and \$54 billion and operating income of between \$1.1 billion and \$1.9 billion for the second quarter, compared with \$628 million a year earlier.

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